Global Findex Framework

WHAT IS THE GLOBAL FINDEX FRAMEWORK?

01

Global dataset measuring adult participation in the financial system since 2011.

02

Built from representative surveys of adults (15+) using standardized questionnaires.

03

Tracks both access (account ownership) and usage (transaction behavior).

04

Enables fair benchmarking across 140+ countries and longitudinal analysis over years.

05

Primary reference for global inclusion planning, policy setting, and evaluation.

WHY GLOBAL FINDEX IS USED

Shared Definitions

Establishes a common language for "financial inclusion" across diverse economies.

Progress Tracking

Uses consistent indicators to show development trends over time.

Identifying Gaps

Reveals excluded groups based on gender, income, education, and location.

Benchmarking

Allows countries to measure their performance against regional and global peers.

Evidence-Based Policy

Replaces assumptions with hard data to support program design and evaluation.

THE TWO MOST IMPORTANT IDEAS: ACCESS VS USAGE

Access

Core Question: Can people enter the system?

Focuses on the availability of accounts and the removal of entry barriers.

Usage

Core Question: Do people actually use services in daily life?

Focuses on transaction frequency and meaningful integration into daily behavior.

Key Insight: Access can improve while usage stays low (inactive accounts). Good inclusion analysis treats these as separate outcomes.

ACCOUNT OWNERSHIP (ACCESS)

The Gateway Indicator

- % of adults with an account at a formal institution or active mobile money.
- Measured by self-reporting, capturing the user's perspective on access.
- A necessary first step, but not the complete story of inclusion.

Barriers to Entry

- High costs and long distances to financial service points.
- Lack of required documentation or trust in formal institutions.
- Limited awareness of available financial products and services.

DIGITAL PAYMENTS (USAGE) IN SIMPLE TERMS

Definition

Percentage of adults who made or received a **digital payment** in the past year via mobile money, cards, or phone/internet-based services.

Meaningful Inclusion

A strong signal of real behavior rather than just sign-up. It reflects how people actually **transact** in their daily lives.

Ecosystem Factors

Success depends on the availability of merchants, agents, and **interoperability** between different financial services.

FINANCIAL RESILIENCE: MEASURING WELL-BEING

01

The Benchmark

Ability to access emergency money (5% of GNI per capita) within 30 days without difficulty.

02

Fund Sources

Identifies if funds come from formal savings, family networks, or high-cost informal borrowing.

03

The Goal

Resilience is the ultimate outcome of inclusion, reducing stress for vulnerable populations.

DIGITIZATION AS A CATALYST FOR INCLUSION

01

Moving **wages and government transfers** from cash to digital accounts creates immediate utility for new users.

02

Digitalizing agricultural and merchant transactions **reduces leakages** and increases transparency in the financial ecosystem.

03

Acts as a **gateway for unbanked adults**, embedding financial services into their daily economic activities.

OTHER FINDEX SIGNALS THAT STRENGTHEN ANALYSIS

01

Behavioral Patterns

Tracks formal vs. informal saving and borrowing behavior to understand how people manage liquidity and credit.

02

Barriers to Entry

Identifies specific reasons for being unbanked, such as cost, distance, lack of documentation, or lack of trust.

03

Demographic Gaps

Segments data by gender, income, and education to pinpoint exactly who is being left behind in the financial system.

COMMON PITFALLS WHEN INTERPRETING INCLUSION METRICS

Measurement Errors

- ✕ Confusing "number of accounts" with "share of people included".
- ✕ Ignoring inactivity: registered accounts may not be used.
- ✕ Missing duplicates: one person can hold multiple accounts/wallets.

Analytical Gaps

- ✕ Treating access and usage as the same thing.
- ✕ Over-reading small changes without considering survey uncertainty.

LINKING REAL-WORLD EVENTS TO FINDEX OUTCOMES

Event Drivers

Major shifts in **policy, product launches, or infrastructure** directly influence inclusion indicators.

Impact Metrics

Measure changes by **direction, size, delay, and duration** to understand how events affect access and usage.

Evidence-Based

Use historical patterns and peer reports to **justify impact estimates**, making forecasts explainable.

WHAT A STRONG INCLUSION FORECASTING SYSTEM SHOULD PRODUCE

Standardized Metrics

Clear definitions of target metrics **aligned with Findex standards** to ensure global comparability.

Integrated Timelines

A clean timeline of observations paired with an **event timeline** to correlate policy changes with outcomes.

Actionable Scenarios

Forecasts with **uncertainty ranges** and scenarios that tell a clear story of drivers and expected directions.

Thank you.